Pirate Metrics (AARRR)

Acquisition to revenue funnel

PROFESSIONAL DEFINITION

Pirate Metrics (AARRR) is a funnel of five growth stages — Acquisition, Activation, Retention, Referral and Revenue — that frames where to focus measurement and improvement in a growth model.

WHO DEVELOPED IT

Created by venture investor Dave McClure in 2007 to give startups a simple, actionable metrics framework.

WHY IT WAS DEVELOPED

It was developed to cut through vanity metrics and focus founders on the few stage-level numbers that actually drive growth.

FIGURE 1 · PIRATE METRICS (AARRR)

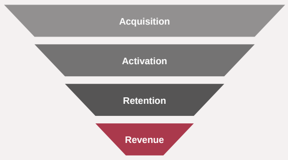

Figure 1. A schematic of the Pirate Metrics (AARRR) as applied in BARBM312 (illustrative).

HOW IT IS USED

Each stage is measured; the weakest stage becomes the focus of experimentation, with AI applied where it most improves stage conversion.

WHEN IT IS USED

During growth measurement and prioritisation for products and AI-enabled services.

BY WHOM IT IS USED

Founders, growth and product teams.

INNOVATION RELATIVE TO THE PREDECESSOR TOOL

It distilled growth measurement into five memorable, actionable stages, becoming a default startup metrics language.

RELATED FRAMEWORKS IN THIS COURSE

- **CAC : LTV Ratio** · Slibrary 8
- **Retention / Churn Cohort** · Slibrary 8
- **Net Revenue Retention** · Slibrary 8
- **Growth Loop** · Slibrary 8

SOURCES (HARVARD REFERENCING STYLE)

McClure, D. (2007) 'Startup metrics for pirates', 500 Startups.

Croll, A. and Yoskovitz, B. (2013) Lean Analytics. Sebastopol: O'Reilly.

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